



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

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Circular to Licensed Corporations

Responsible Officers

It has come to our attention that certain corporations licensed under section 116 of the Securities and Futures Ordinance (“SFO”) failed to maintain at least 2 responsible officers for each regulated activity they are licensed for. Section 125(1) of the SFO provides that a licensed corporation under such circumstance **shall not carry on the related regulated activity**. Contravention with this requirement, without reasonable excuse, is an offence under the law and if convicted, the licensed corporation concerned is liable to a fine of up to \$100,000 and to a further fine of \$2,000 for every day during which the offence continues. In addition, the licensed corporation and its related responsible officer may also be subjected to disciplinary proceeding.

The Commission therefore urges licensed corporations to review their own situation and to plan ahead to avoid breaching the relevant provisions of the legislation. Licensed corporations should immediately contact their Intermediaries Relationship Manager of the Licensing Department if they foresee difficulties in the continuous compliance with those provisions. Please also be reminded that all responsible officers’ appointments become effective only upon the Commission’s approval.

Please note that this requirement does **NOT** apply to those licensed corporations which have yet to migrate to the new regime as they are deemed to have complied with the necessary requirement under the transitional provisions of the SFO.

Should you have any queries, please do not hesitate to contact your Intermediaries Relationship Manager.

Licensing Department
Intermediaries and Investment Products Division
Securities and Futures Commission



SFC Website: <http://www.hksfc.org.hk>



Electronic Investor Resources Centre: <http://www.hkeirc.org>